

The Freelancer's Money System

Taxes, savings, and retirement for gig workers — the guide financial advisors never wrote.

GUIDE	PAGES	PRICE
#02	88	Pay What You Want

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CHAPTER 1

The Freelancer's Financial Reality

Why traditional financial advice fails gig workers — and what actually works

Every personal finance book was written for a W-2 employee. Regular paycheck. Employer-sponsored health insurance. 401k with a company match. Clear line between 'business expenses' and 'personal expenses.' A predictable tax situation where everything just gets withheld automatically.

That's not your life. And yet the advice you've been given assumes it is.

◆ The Real Freelancer Situation

Variable income every month. Pay your own taxes quarterly (or get penalized). Find and pay for your own health insurance. Build your own retirement — no match, no guidance. Manage the line between business and personal money. Survive feast-and-famine cycles. Plan for income gaps. All while actually doing your work.

This guide gives you the system that actually works for your situation. We'll cover every layer of the freelancer financial stack — from daily cash flow to long-term wealth building. By the end, you'll have a complete financial operating system you can run yourself.

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CHAPTER 2

The Income Smoothing System

How to budget when every month looks completely different

The biggest financial challenge for freelancers isn't earning enough. It's that income comes in unpredictably — and your fixed expenses don't care. The solution is income smoothing: creating an artificial 'paycheck' for yourself regardless of what you actually earned that month.

Step 1: Calculate Your Baseline Monthly Need

Add up all your fixed monthly costs: rent/mortgage, utilities, insurance, subscriptions, minimum debt payments, groceries, transportation. This is your floor. You must earn this every month to stay solvent. Call this your 'Baseline Number.'

My Baseline Monthly Budget:

Step 2: Build a Buffer Account

Open a separate high-yield savings account — not your main account. This is your Income Buffer. The goal: 3 months of Baseline Expenses sitting here at all times. Every month when you get paid, pay yourself a consistent 'salary' from this account, not directly from client payments.

Step 3: Set Your 'Salary'

Calculate your average monthly income over the last 12 months. Subtract 30% (taxes) and 10% (business expenses). That's your take-home salary. Transfer this amount from your business account to your personal account on the same day every month — like a paycheck.

◆ Example

Average monthly revenue: \$8,000. Minus 30% taxes: \$2,400. Minus 10% expenses: \$800. Monthly 'salary' to yourself: \$4,800. Some months you'll earn \$12k and only transfer \$4,800. Some months you'll earn \$5k and still transfer \$4,800 (funded by the buffer). Stability achieved.

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CHAPTER 3

Self-Employment Taxes Demystified

Quarterly estimates, deductions, and never getting an IRS surprise

Self-employment tax is the single biggest financial shock for new freelancers. Most people discover it at their first tax filing — when they owe thousands they don't have. This doesn't have to happen to you.

Understanding Self-Employment Tax

As an employee, your employer pays half of your Social Security and Medicare taxes (7.65%). As a self-employed person, you pay both halves: 15.3% on net self-employment income. This is on top of your regular income tax. Combined federal tax rate for most freelancers in the \$50k–\$150k range: 25–35% of net income.

◆ Simple Tax Reserve Rule

Set aside 30% of every client payment the moment it arrives. Move it to a dedicated Tax Reserve account (high-yield savings). Never touch it. Quarterly, pay your estimated taxes from this account. At year-end, you'll have exactly what you owe — or a small refund.

Quarterly Estimated Taxes

The IRS expects quarterly payments if you owe more than \$1,000 in taxes for the year. The deadlines: April 15, June 15, September 15, and January 15. Miss these and you'll owe a penalty (small, but annoying and avoidable).

Key Deductions for Freelancers

- Home office (dedicated space only — calculate square footage percentage)
- Health insurance premiums (fully deductible if self-employed)
- Software and subscriptions (anything used for work)
- Professional development (courses, books, conferences)
- Equipment (laptops, cameras, microphones — depreciation rules apply)
- Vehicle use (mileage method: 67 cents/mile in 2024)
- Phone (business-use percentage of your bill)
- Meals with clients (50% deductible)
- SEP-IRA or Solo 401k contributions (major deduction — see Chapter 6)

✓ Track Everything

Use a simple spreadsheet or app like Wave (free) or QuickBooks Self-Employed (\$15/month) to track income and expenses as they happen. Tax season becomes a 2-hour job instead of a nightmare.

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CHAPTER 4

The Freelancer's Emergency Fund

How big it actually needs to be — and why it's different from standard advice

Standard financial advice says: 3–6 months of expenses in your emergency fund. For freelancers, that's not enough. You need the emergency fund to cover both unexpected personal emergencies AND income gaps — which are a normal part of freelance life.

Target: **6 months of total expenses** (personal + estimated taxes + business costs). This feels like a lot. It is. But it's what provides genuine financial security when a big client churns, a project gets delayed, or you need to take time off.

◆ Emergency Fund Priority Order

1. \$1,000 starter fund (immediate priority). 2. 1 month of expenses. 3. 3 months of expenses. 4. 6 months of expenses. Each level provides more security. Stop at whatever level lets you sleep at night.

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CHAPTER 5

Health Insurance on Your Own

Options, costs, and how to pick the right plan

Health insurance is one of the most significant costs freelancers face — and one of the most confusing to navigate. Here's a clear breakdown of your options.

ACA Marketplace Plans (healthcare.gov)

Available to all self-employed individuals. Subsidies available if your income is below 400% of the federal poverty level (~\$58k for a single person). Shop during open enrollment (Nov–Dec) or after a qualifying life event.

COBRA (if recently employed)

Extends your former employer's coverage for up to 18 months. Often expensive — you pay 100% of the premium. But useful as a bridge while you figure out longer-term options.

Freelancer's Union / Professional Associations

Many industry associations offer group health plans at lower rates. Worth checking for your specific field.

Health Sharing Ministries

Lower cost but not traditional insurance — higher risk, significant limitations. Research carefully before choosing.

Spouse / Partner's Plan

Often the best option if available. Estimate cost carefully — adding a spouse to an employer plan can be expensive.

✓ High-Deductible + HSA Combo

A High-Deductible Health Plan (HDHP) paired with a Health Savings Account (HSA) is often the best strategy for healthy freelancers. Lower premiums + HSA contributions are tax-deductible + money rolls over year to year. Triple tax advantage.

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CHAPTER 6

Retirement Without a 401k

SEP-IRA, Solo 401k, and Roth IRA — which one, how much, and when

No employer means no 401k match — but it also means access to retirement accounts with significantly higher contribution limits than most employees have. Used correctly, freelancers can build wealth faster

than W-2 employees.

Account	2024 Limit	Best For
Traditional IRA	\$7,000/year (\$8,000 if 50+)	Simple to open anywhere. Pre-tax contributions (if eligible). Good starting
Roth IRA	\$7,000/year (\$8,000 if 50+)	After-tax contributions, tax-free growth and withdrawals. Best for those ex
SEP-IRA	Up to 25% of net self-employment income, up to \$69,000/year	Extremely simple to open and use. Contributions are fully tax-ded
Solo 401(k)	\$23,000 employee + 25% employer total up to \$69,000/year	Most powerful option available. Loan provision. More admini

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CHAPTER 7

Separating Business & Personal Money

The exact account setup that saves your sanity at tax time

The single most common mistake new freelancers make: running all money through one bank account. This creates tax nightmares, makes it impossible to know your actual profitability, and leaves you legally exposed. The fix is simple and takes one afternoon to set up.

- Business Checking: All client payments land here. All business expenses paid from here.
- Business Savings (Tax Reserve): 30% of every payment transferred immediately. Touch only for quarterly taxes.
- Business Savings (Buffer): Build to 2–3 months of business expenses. Emergency operating fund.
- Personal Checking: Your 'salary' transferred monthly. This is what you live on.
- Personal Savings (Emergency Fund): 6 months of personal expenses. Don't touch unless absolutely necessary.
- Retirement Account: Automated monthly contribution from personal checking.

✓ Naming Convention

Name accounts literally in your banking app: 'BUSINESS CHECKING,' 'TAX RESERVE,' 'BUFFER,' etc. Seeing the label every time prevents accidentally dipping into money that's already spoken for.

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CHAPTER 8

Invoicing, Late Payments & Cash Flow

Systems to get paid faster and protect your income

Cash flow problems kill freelance businesses that are otherwise perfectly profitable. The solution is not just earning more — it's getting paid faster and more predictably.

Net 7, Not Net 30

If your contract says Net 30, change it. Net 7 is increasingly the standard for freelancers, and most clients will accept it without question if you simply ask. The 23 days you're waiting cost you real cash flow.

Late Payment Strategies

- Upfront deposits (25–50%) for all new clients and large projects
- Automated payment reminders at 7 days, 14 days, and 30 days overdue
- Late fees in your contract (1.5%/month is standard and enforceable)
- Stop work clause: pause deliverables when payment is 14+ days late
- Stripe or similar for automatic card charging on recurring clients

My Invoice & Payment Process:

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CHAPTER 9

The Feast-or-Famine Fix

Pricing strategy and retainer models to stabilize your income

The feast-or-famine cycle is a pricing and positioning problem, not a market problem. Freelancers stuck in it are usually underpriced, project-dependent, and not leveraging retainer relationships. This chapter fixes all three.

Raise Your Rates

If you're fully booked, you're underpriced. The market is telling you there's room to charge more. Raise rates by 20% for new clients immediately. Raise existing clients by 10–15% annually. Most quality clients will stay. The few who leave were probably your most difficult anyway.

Build Retainer Income

A retainer client pays you a fixed monthly fee for a defined scope of ongoing work. Even 2–3 retainer clients at \$1,500–\$3,000/month creates a stable income floor that transforms your financial stress. Actively pitch retainer arrangements to project clients after the first successful engagement.

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CHAPTER 10

Building Wealth as a Freelancer

Investment basics for variable-income earners

Once your income is stable and your emergency fund is built, it's time to think about wealth building beyond your retirement accounts. The strategy for freelancers is the same as for anyone — with one important difference: automate everything, because you will not have the discipline to invest manually in every busy month.

The Simple Portfolio

For most freelancers who aren't investment enthusiasts, a 3-fund portfolio is sufficient: US total stock market index fund (60–70%), International stock index fund (20–30%), Bond index fund (10–20%). Available at Vanguard, Fidelity, or Schwab. Set automated monthly transfers. Rebalance once a year. Done.

◆ The Most Important Rule

Automate your investments. Set it and forget it. The freelancers who build wealth aren't necessarily the ones who earn the most — they're the ones who invest consistently, every month, regardless of how the business is performing.

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CHAPTER 11

The 12-Month Money Roadmap

Month-by-month action plan to fix your finances

Here's a concrete 12-month plan to get your freelance finances in order:

Month 1: Open business checking + tax reserve savings. Start tracking income/expenses.

Month 2: Calculate baseline monthly need. Set your 'salary' amount. Open Roth IRA.

Month 3: Build \$1,000 emergency fund. Start 30% tax reserve habit.

Month 4: Research and purchase health insurance if needed.

Month 5: Make first quarterly tax payment. Audit all business deductions.

Month 6: Six-month review. Raise rates for new clients.

Month 7: Expand emergency fund to 3 months. Pitch retainer to one project client.

Month 8: Open SEP-IRA or Solo 401k if income warrants it.

Month 9: Make third quarterly tax payment. Review retirement contributions.

Month 10: Year-end tax planning. Maximize deductions.

Month 11: Build emergency fund to 6 months target. ACA open enrollment.

Month 12: Annual financial review. Set next year's income goals and savings targets.

My Financial Goals — 12 Months:

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CHAPTER 12

Tools & Recommended Apps

The exact stack for managing your freelance finances

Wave (Free) — Invoicing, expense tracking, and basic accounting. Best free option for solopreneurs.

QuickBooks Self-Employed (\$15/month) — Tracks mileage, separates business/personal automatically, integrates with TurboTax.

YNAB — You Need A Budget (\$15/month) — Best budgeting app for variable income. Forces you to plan each dollar.

Stripe / PayPal — Online payment processing. Stripe is better for professional invoicing.

Calendly + Stripe — Combined for session-based work: automatic booking + payment collection.

Marcus by Goldman Sachs / Ally Bank — High-yield savings accounts for your tax reserve and buffer funds.

TurboTax Self-Employed (\$120/year) — Best DIY tax software for freelancers. Guides you through SE-specific deductions.

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